

MACRO IMPULSE

Hawkish lean
Composite score +0.42

SELL-OFF RISK

Medium
Faster/higher hikes risk 2.9/5

RALLY RISK

Medium
Cuts priced back / hikes reduced 2.9/5

FRONT REPRICING

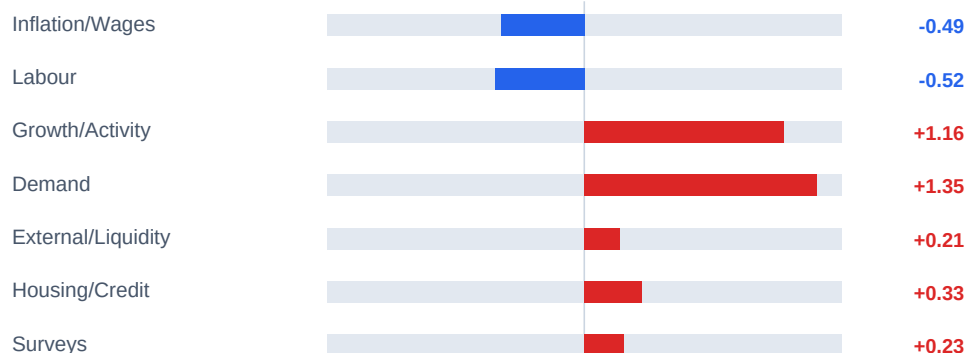
+51.0bp
Avg of front tenors and forwards

LARGEST TENOR

6m6m +67bp
Largest absolute selected move

Macro impulse by driver

Left = rally/cuts pressure. Right = sell-off/hike pressure.

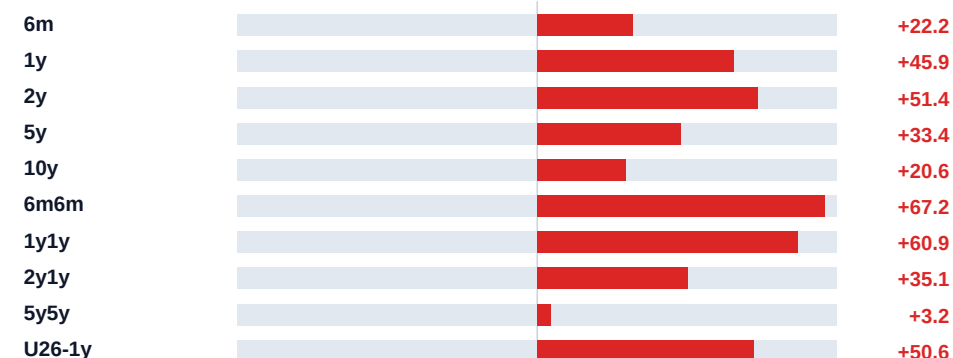


What defines it now

Hawkish lean. Dominant drivers: Growth/Activity +1.2, Demand +1.4, External/Liquidity +0.2.

Rates / bond repricing ladder

bp move since 25Feb26. Positive = rates sold off / hikes priced.



Front avg +51.0bp | Belly +31.4bp | Long +17.1bp

Decision panel

Two-way

Track 6m6m +67bp, 1y1y +61bp; the next growth/activity print should decide whether hikes extend or cuts are priced back in.

Data arguing for sell-off / faster hikes

- 14 May Wholesale Prices YoY: 8.30 vs 5.50 survey (hawkish, score +3.0)
- 28 Apr Industrial Production YoY: 4.10 vs 2.70 survey (hawkish, score +2.2)
- 05 Jun GDP YoY: 7.80 vs 7.30 survey (hawkish, score +2.1)

Data arguing for rally / cuts back in

- 12 May CPI YoY: 3.48 vs 3.78 survey (dovish, score -2.1)
- 16 Feb Trade Balance: -34,678 vs -25,400 survey (dovish, score -3.0)
- 02 Mar Industrial Production YoY: 4.80 vs 6.00 survey (dovish, score -1.4)

Snapshot: 12 indicators defining INR now

Selection prioritizes recency, relevance, diversity of drivers and size of surprise/trend.

Date	Driver	Indicator	Actual	Survey	Prior	Read
15 Jun	External/Liquidity	Exports YoY	18.0	NA	13.8	Hawkish +1.5
15 Jun	External/Liquidity	Imports YoY	20.6	NA	10.0	Hawkish +1.5
08 Jun	External/Liquidity	BoP Current Account Balance	7.10	-1.35	-13.2	Hawkish +1.7
05 Jun	Policy/Fiscal	RBI Repurchase Rate	5.25	5.25	5.25	Neutral +0.0
05 Jun	Growth/Activity	GDP YoY	7.80	7.30	7.80	Hawkish +2.1
05 Jun	Growth/Activity	GVA YoY	7.90	7.30	7.80	Hawkish +3.0
03 Jun	Surveys	HSBC India PMI Composite	59.3	NA	58.1	Hawkish +1.2
03 Jun	Surveys	HSBC India PMI Services	59.8	NA	58.9	Hawkish +0.9
01 Jun	Surveys	HSBC India PMI Mfg	55.0	NA	54.3	Hawkish +0.7
14 May	Demand	Wholesale Prices YoY	8.30	5.50	3.88	Hawkish +3.0
12 May	Inflation/Wages	CPI YoY	3.48	3.78	3.40	Dovish -2.1
28 Apr	Growth/Activity	Industrial Production YoY	4.10	2.70	5.20	Hawkish +2.2

Read: hawkish = stronger/hotter data or lower unemployment; dovish = weaker/cooler data or higher unemployment. When no survey exists, read uses actual versus prior with lower weight.

Indicator balance



Dovish 22 Neutral 8 Hawkish 28

Most important driver:
Growth/Activity (+1.16).

Tenors to track

6m6m	+67.2bp
1y1y	+60.9bp
2y	+51.4bp
U26-1y	+50.6bp

Interpretation

Track 6m6m +67bp, 1y1y +61bp; the next growth/activity print should decide whether hikes extend or cuts are priced back in.

Indicator web: what to watch and where it should hit the curve

Use this as the monitoring map. Each box links a data driver to the rate tenors most likely to move.

Growth/Activity

+1.16

Track: GDP YoY; GVA YoY

Sell-off: GDP/IP/production beats; output momentum holds.

Rally: GDP/IP/production misses; slowdown broadens.

Tenor focus: 2y, 2y1y, 5y

Demand

+1.35

Track: Wholesale Prices YoY

Sell-off: Retail/spending/consumer indicators re-accelerate.

Rally: Retail/consumption misses; confidence falls.

Tenor focus: 1y, 2y, 2y1y

External/Liquidity

+0.21

Track: Exports YoY; Imports YoY

Sell-off: Exports/reserves/current account beat.

Rally: Trade/reserves/current account deteriorate.

Tenor focus: 2y1y, 5y, 10y

Inflation/Wages

-0.49

Track: CPI YoY

Sell-off: Hot CPI/PPI/wages versus survey or prior.

Rally: Cool CPI/PPI/wages; oil relief passes through.

Tenor focus: 6m, 1y, 6m6m

Surveys

+0.23

Track: HSBC India PMI Composite; HSBC India PMI Services

Sell-off: PMI/sentiment rebounds above 50 or beats.

Rally: PMI/sentiment drops, especially below 50.

Tenor focus: 6m6m, 1y1y

Labour

-0.52

Track: Unemployment Rate

Sell-off: Payrolls/jobs beat or unemployment falls.

Rally: Employment misses or unemployment rises.

Tenor focus: 1y, 2y, 1y1y

Housing/Credit

+0.33

Track: Bank Credit YoY

Sell-off: Credit/property/money growth accelerates.

Rally: Credit/property weakens; money growth fades.

Tenor focus: 2y, 5y, 1y1y

Policy/Fiscal

+0.02

Track: RBI Repurchase Rate

Sell-off: Policy stays tight or fiscal impulse expands.

Rally: Rate cuts, dovish guidance or fiscal drag.

Tenor focus: 6m, 1y, IMM 1Y